

Accounting and Accountability

Week 6



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Key concepts

What is financial statement analysis?

- Financial statement analysis reviews financial information found on financial statements to make informed decisions about the business. The information obtained from this analysis can benefit decision-making for internal and external stakeholders and can give a business valuable information on overall performance and specific areas for improvement.
- The income statement, statement of changes to equity, balance sheet, and statement of cash flows, among other financial information, can be analysed.
- When considering the outcomes from analysis, it is important for a business to understand that data produced needs to be compared to others within industry and close competitors.
- Three common analysis tools are used for decision-making; **horizontal analysis**, **vertical analysis**, and **financial ratios**.

Key concepts

Advantages and disadvantages of financial statement analysis

Advantages

- Financial statement analysis can show trends over time.
- Converting information to percentages or ratios makes it easier for stakeholders to make informed decisions.
- Assist with understanding the makeup of current operations.

Disadvantages

- Past performance does not always dictate future performance.
- The way a business reports information within accounts may change over time.

- For our discussion of financial statement analysis, we will use Mistborn Trading, a business that sells a variety of products related to steam punk fancy dress.
- The figure below shows the Comparative P&L/Income Statements and Balance Sheets for Mistborn Trading last 2 years of operations.

Mistborn Trading Comparative year-end P&L			Mistborn Trading Comparative year-end Balance Sheets		
	Prior year	Current year		Prior year	Current year
Revenue	100,000	120,000	Assets		
Cost of sales	50,000	60,000	<i>Current assets</i>		
Gross profit	50,000	60,000	Cash	90,000	110,000
			Accounts receivable	20,000	30,000
Rent expense	5,000	5,500	Inventory	35,000	40,000
Depreciation expense	2,500	3,600	<i>Non-current assets</i>		
Wages expense	3,000	5,400	Property plant and equipment	40,000	50,000
Utilities expense	1,500	2,500	Land	15,000	20,000
Net profit	38,000	43,000	Total assets	200,000	250,000
Interest expense	3,000	5,400	Liabilities		
Income tax	5,000	6,000	<i>Current liabilities</i>		
Net profit after interest and tax	30,000	31,600	Accounts payable	60,000	75,000
			Unearned revenue	10,000	25,000
			<i>Non-current liabilities</i>		
			Bank loan	40,000	50,000
			Total liabilities	110,000	150,000
			NET ASSETS	90,000	100,000
			Equity		
			Share capital	75,000	80,000
			Retained earnings	15,000	20,000
			Total equity	90,000	100,000

Key concepts

Horizontal analysis

- Horizontal analysis (also known as trend analysis) looks at trends over time on various financial statement line items.
- The dollar change is found by taking the dollar amount in the base year and subtracting that from the year of analysis.

$$\text{Dollar Change} = \text{Year of Analysis Amount} - \text{Base Year Amount}$$

- The percentage change is found by taking the dollar change, dividing by the base year amount, and then multiplying by 100.

$$\text{Percent Change} = \left(\frac{\text{Dollar Change}}{\text{Base Year Amount}} \right) \times 100$$

Horizontal Analysis-Income statement

Mistborn Trading Comparative year-end Income Statement			HORIZONTAL ANALYSIS	
	Current year	Prior year		
			Dollar change	Percentage change
Revenue	120,000	100,000	20,000	20%
Cost of sales	60,000	50,000	10,000	20%
Gross profit	60,000	50,000	10,000	20%
Rent expense	5,500	5,000	500	10%
Depreciation expense	3,600	2,500	1,100	44%
Wages expense	5,400	3,000	2,400	80%
Utilities expense	2,500	1,500	1,000	67%
Net profit before interest and tax	43,000	38,000	5,000	13%
Interest expense	5,400	3,000	2,400	80%
Income tax	6,000	5,000	1,000	20%
Net profit after interest and tax	31,600	30,000	1,600	5%

Horizontal Analysis-Balance Sheet

Mistborn Trading Comparative year-end Balance Sheets					
	Current year	Prior year		Dollar change	Percentage change
Assets					
<i>Current assets</i>					
Cash	110,000	90,000		20,000	22%
Accounts receivable	30,000	20,000		10,000	50%
Inventory	40,000	35,000		5,000	14%
<i>Non-current assets</i>					
Property plant and equipment	50,000	40,000		10,000	25%
Land	20,000	15,000		5,000	33%
Total assets	250,000	200,000		50,000	25%
Liabilities					
<i>Current liabilities</i>					
Accounts payable	75,000	60,000		15,000	25%
Unearned revenue	25,000	10,000		15,000	150%
<i>Non-current liabilities</i>					
Bank loan	50,000	40,000		10,000	25%
Total liabilities	150,000	110,000		40,000	36%
NET ASSETS	100,000	90,000		10,000	11%
Equity					
Share capital	80,000	75,000		5,000	7%
Retained earnings	20,000	15,000		5,000	33%
Total equity	100,000	90,000		10,000	11%

Quick Check

What is the answer?

A business has the following amounts.

This is the prior year information: sales revenue \$1,000, cost of sales \$700.

This is the current year information: sales revenue \$900, cost of sales \$650.

Calculate the horizontal analysis of the gross profit. Show your answer as a percentage rounded to one decimal place. Do not include the % symbol in your answer.

Horizontal analysis of gross profit is_____ (one decimal place, percentage).

Key concepts

Vertical Analysis

- Vertical analysis shows a comparison of a line item within a statement to another line item within that same statement.
- The business will need to determine which line item they are comparing all items to within that statement and then calculate the percentage makeup. These percentages are considered **common-size** because they make businesses within industry comparable by taking out fluctuations for size.
- It is typical for an income statement to use revenue (or sales) as the comparison line item. This means revenue will be set at 100% and all other line items within the income statement will represent a percentage of revenue.

Key concepts

Vertical Analysis

- On the balance sheet, a company will typically look at two areas: (1) total assets, and (2) total liabilities and shareholders' equity.
- Total assets will be set at 100% and all assets will represent a percentage of total assets. Total liabilities and shareholders' equity will also be set at 100% and all line items within liabilities and equity will be represented as a percentage of total liabilities and stockholders' equity.
- The line item set at 100% is considered the base amount and the comparison line item is considered the comparison amount.

$$\text{Common-Size Percentage} = \left(\frac{\text{Comparison Amount}}{\text{Base Amount}} \right) \times 100$$

Vertical Analysis—Income statement

Mistborn Trading Comparative year-end Income Statement			VERTICAL ANALYSIS					
	Current year	Prior year		Current year	Prior year			
Revenue	120,000	100,000		100%	100%	Revenue is the base for the P&L		
Cost of sales	60,000	50,000		50%	50%			
Gross profit	60,000	50,000		50%	50%			
Rent expense	5,500	5,000		5%	5%			
Depreciation expense	3,600	2,500		3%	3%			
Wages expense	5,400	3,000		5%	3%			
Utilities expense	2,500	1,500		2%	2%			
Net profit before interest and tax	43,000	38,000		36%	38%			
				0%	0%			
Interest expense	5,400	3,000		5%	3%			
Income tax	6,000	5,000		5%	5%			
Net profit after interest and tax	31,600	30,000		26%	30%			

Vertical Analysis—Balance Sheet

Mistborn Trading Comparative year-end Balance Sheets								
	Current year	Prior year		Current year	Prior year			
Assets						Total assets is the base for the Balance Sheet		
<i>Current assets</i>								
Cash	110,000	90,000		44%	45%			
Accounts receivable	30,000	20,000		12%	10%			
Inventory	40,000	35,000		16%	18%			
<i>Non-current assets</i>								
Property plant and equipment	50,000	40,000		20%	20%			
Land	20,000	15,000		8%	8%			
Total assets	250,000	200,000		100%	100%			
Liabilities								
<i>Current liabilities</i>								
Accounts payable	75,000	60,000		30%	30%			
Unearned revenue	25,000	10,000		10%	5%			
<i>Non-current liabilities</i>								
Bank loan	50,000	40,000		20%	20%			
Total liabilities	150,000	110,000		60%	55%			
NET ASSETS	100,000	90,000		40%	45%			
Equity								
Share capital	80,000	75,000		32%	38%			
Retained earnings	20,000	15,000		8%	8%			
Total equity	100,000	90,000		40%	45%			

Key concepts

Ratio Analysis

- Financial ratios help both internal and external users of information make informed decisions about a business.
- There are four main categories of ratios:
 - ✓ liquidity,
 - ✓ solvency,
 - ✓ efficiency,
 - ✓ profitability.

Key concepts

Liquidity Ratios—Working Capital

- **Liquidity ratios** show the ability of the business to pay short-term obligations if they came due immediately with assets that can be quickly converted to cash. This is done by comparing current assets to current liabilities.
- Working capital measures the financial health of an organisation in the short-term by finding the difference between current assets and current liabilities. A business will need enough current assets to cover current liabilities; otherwise, they may not be able to continue operations in the future.
- On the other hand, too large of a difference may indicate that the business may not be correctly using their assets to grow the business.

$$\text{Working Capital} = \text{Current Assets} - \text{Current Liabilities}$$

- Using Mistborn Trading, working capital is computed as follows for the current year:

$$\text{Working capital} = 180,000 - 100,000 = \$80,000$$

Key concepts

Liquidity Ratios—Current Ratio

- The current ratio considers the amount of current assets Ratio analysis available to cover current liabilities. The higher the current ratio, the more likely the company can cover its short term debt.

$$\text{Current Ratio} = \left(\frac{\text{Current Assets}}{\text{Current Liabilities}} \right)$$

- The current ratio in the current year for Mistborn Trading is:
- Current ratio = $(180,000 / 100,000) = 1.8$

Key concepts

Liquidity Ratios—Quick Ratio

- The quick ratio, also known as the acid-test ratio, is similar to the current ratio except current assets are more narrowly defined as the most liquid assets, which exclude inventory and prepaid expenses.

$$\text{Quick Ratio} = \left(\frac{\text{Cash} + \text{Short-Term Investments} + \text{Accounts Receivable}}{\text{Current Liabilities}} \right)$$

- The quick ratio for Mistborn Trading in the current year is:

$$\text{Quick ratio} = (140,000 / 100,000) = 1.4$$

- When evaluating a business, we want to see that the quick ratio is above 1. A quick ratio below one means that the business does not have enough liquid assets to pay their debts and may be at risk of being insolvent.

Key concepts

Solvency Ratio—Debt to Equity Ratio

- **Solvency** implies that a business can meet its long-term obligations and will likely stay in business in the future. Meeting long-term obligations includes the ability to pay any interest incurred on long-term debt.
- The debt-to-equity ratio shows the relationship between debt and equity as it relates to business financing. It is less risky and less costly to use equity sources for financing (issue shares) as compared to debt resources (obtain a loan).

$$\text{Debt—to—equity ratio} = \left(\frac{\text{Total liabilities}}{\text{Total equity}} \right)$$

- The information needed to compute the debt-to-equity ratio for Mistborn Trading in the current year can be found on the balance sheet.

$$\text{Debt to equity ratio} = (150,000 / 100,000) = 1.5$$

Key concepts

Solvency Ratio—Times Interest Earned Ratio

- Time interest earned measures the business's ability to pay interest expense on long-term debt incurred.
- This ability to pay is determined by the available earnings (profit) before interest and taxes (EBIT) are deducted.

$$\text{Times Interest Earned} = \left(\frac{\text{Earnings before Interest and Taxes}}{\text{Interest Expense}} \right)$$

- The information needed to compute times interest earned for Mistborn Trading in the current year can be found on the income statement.

$$\text{Times interest earned} = (43,000 / 5,400) = 7.96$$

Key concepts

Efficiency Ratios—Accounts Receivable Turnover

- **Efficiency** shows how well a business uses and manages their assets. A business that is efficient typically will be able to generate revenues quickly using the assets it acquires.
- Accounts receivable turnover measures how many times in a period (usually a year) a business will collect cash from accounts receivable.
- A higher number of times could mean cash is collected more quickly and that credit customers are of high quality.

$$\text{Accounts Receivable Turnover} = \left(\frac{\text{Net Credit Sales}}{\text{Average Accounts Receivable}} \right)$$

$$\text{Average Accounts Receivable} = \left(\frac{\text{Beginning Accounts Receivable} + \text{Ending Accounts Receivable}}{2} \right)$$

Key concepts

Efficiency Ratios—Accounts Receivable Turnover

- Many businesses do not split credit and cash sales, in which case an assumption is made that all sales are credit sales and therefore total sales or revenue would be used to compute accounts receivable turnover.
- When computing the accounts receivable turnover for Mistborn Trading, let's assume net credit sales make up \$100,000 of the \$120,000 of the revenue found on the income statement in the current year.

$$\text{Accounts receivable turnover} = (100,000 / (20,000 + 30,000) / 2)$$

$$\text{Accounts receivable turnover} = (100,000 / 25,000) = 4$$

Key concepts

Efficiency Ratios—Days in receivables

- The days in receivables ratio tells us how many days a customer's debt is outstanding before they pay. We use the Accounts Receivable Turnover ratio to calculate it.

$$\text{Days in receivables} = \left(\frac{365}{\text{Accounts receivable turnover}} \right)$$

- Therefore for Mlstborn Trading, we can calculate the days in receivables as follows:

$$\text{Days in receivables} = 365/4 = 91$$

Key concepts

Efficiency Ratios—Inventory Turnover

- Inventory turnover measures how many times during the year a business has sold and replaced inventory. This can tell a business how well inventory is managed.
- A higher ratio is preferable; however, an extremely high turnover may mean that the company does not have enough inventory available to meet demand.

$$\text{Inventory Turnover} = \left(\frac{\text{Cost of Goods Sold}}{\text{Average Inventory}} \right)$$

$$\text{Average Inventory} = \left(\frac{\text{Beginning Inventory} + \text{Ending Inventory}}{2} \right)$$

Key concepts

Efficiency Ratios—Inventory Turnover

- Cost of goods sold (or Cost of sales) for the current year is found on the income statement/P&L.

- Mistborn Trading's inventory turnover is:

$$\text{Inventory turnover} = (60,000 / (35,000 + 40,000) / 2)$$

$$\text{Inventory turnover} = (60,000 / 37,500) = 1.6$$

Key concepts

Efficiency Ratios—Day's Sales in Inventory

- Days' sales in inventory expresses the number of days it takes a business to turn inventory into sales. This assumes that no new purchase of inventory occurred within that time period.
- The fewer the number of days, the more quickly the business can sell its inventory.

$$\text{Days in inventory} = \left(\frac{365}{\text{Inventory turnover}} \right)$$

- Mistborn Trading's days' sales in inventory is:

$$\text{Days' sales in inventory} = 365/1.6 = 228 \text{ days}$$

Key concepts

Efficiency Ratios—Total Asset Turnover

- Total asset turnover measures the ability of a business to use their assets to generate revenues. A business would like to use as few assets as possible to generate the most sales or revenue.
- Therefore, a higher total asset turnover Ratio analysis means the business is using their assets very efficiently to produce net sales.

$$\text{Total Asset Turnover} = \left(\frac{\text{Net Sales}}{\text{Average Total Assets}} \right)$$

$$\text{Average Total Assets} = \left(\frac{\text{Beginning Total Assets} + \text{Ending Total Assets}}{2} \right)$$

Key concepts

Efficiency Ratios—Total Asset Turnover

Mistborn Trading's total asset turnover is:

$$\text{Total asset turnover} = (120,000 / (200,000 + 250,000) / 2)$$

$$\text{Total asset turnover} = (120,000 / 225,000) = 0.53$$

Key concepts

Profitability Ratios—Profit Margin

- Profitability considers how well a business produces returns given their operational performance. To assist with profit goal attainment, business revenues need to outweigh expenses.
- Profit margin represents how much of sales revenue has translated into income. This ratio shows how much of each \$1 of sales is returned as profit.
- The larger the ratio figure (the closer it gets to 1), the more of each sales dollar is returned as profit.

$$\text{Profit margin} = \left(\frac{\text{Net profit}}{\text{Revenue or Sales}} \right)$$

- For Mistborn Trading, the profit margin in the current year is:

$$\text{Profit margin} = 31,600 / 120,000 = 0.2633 = 26.33\%$$

Key concepts

Profitability Ratios—Return on Assets (ROA)

- The return on assets measures the business's ability to use its assets successfully to generate a profit.
- The higher the return (ratio outcome), the more profit is created from asset use.

$$\text{Return on Total Assets} = \left(\frac{\text{Net Income}}{\text{Average Total Assets}} \right)$$

$$\text{Average Total Assets} = \left(\frac{\text{Beginning Total Assets} + \text{Ending Total Assets}}{2} \right)$$

- For Mistborn Trading, the return on assets for the current year is:

$$\text{Return on assets} = (31,600 / (200,000 + 250,000 / 2))$$

$$\text{Return on assets} = (31,600 / 225,000) = 0.1404 = 14.04\%$$

Key concepts

Profitability Ratios—Return on Equity (ROE)

- Return on equity (ROE) measures the business's ability to use its invested capital (from shareholders) and retained earnings to generate income.
- The higher the return, the better the business is at using its investments to yield a profit.

$$\text{Return on equity} = \left(\frac{\text{Net profit}}{\text{Average total equity}} \right)$$

$$\text{Average total equity} = \left(\frac{\text{Equity current year} + \text{Equity previous year}}{2} \right)$$

- For Mistborn Trading, we will use the net income figure and assume no preferred dividends have been paid.

$$\text{Return on equity} = (31,600 / (90,000 + 100,000)/2)$$

$$\text{Return on equity} = (31,600 / 95,000) = 0.3326 = 33.26\%$$

Key concepts

Comparing business reports to other measures

- **Industry averages**

Many analysis websites collate firms in the same industry to create industry averages for ratios. There are some caveats to this approach. For example, some industries may have very large and very small players. Another caveat is where an industry grouping might be very diverse.

- **Trends over time**

The more data points that you have, the greater the chances of seeing a trend develop over time.

- **Another company/competitor**

When comparing different companies you may also like to do vertical analysis on their financial statements.

- **Budgets/Forecasts**

The final comparison a business may make is between their ACTUAL performance (based on recorded transactions) and their BUDGET or FORECAST for the same period.

Tutorial activities--Tutorial 6A

A business has the following information:

	Prior year	Current year
Sales revenue	80,000	100,000
Cost of sales	55,000	65,000
Net profit	12,000	22,000

Calculate horizontal analysis of the cost of sales.

- a. 15%.
- b. 18%.
- c. -11%.
- d. I don't know.

Calculate vertical analysis of the cost of sales for the prior year.

- a. 68.75%.
- b. 65%.
- c. 458%.
- d. I don't know.

Calculate profit margin ratio for the current year.

- a. 15%.
- b. 22%.
- c. 18%.
- d. I don't know.

Tutorial activities--Tutorial 6A

A business has the following information:

	Prior year	Current year
Sales revenue	80,000	100,000
Cost of sales	55,000	65,000
Net profit	12,000	22,000
Accounts receivable	20,000	25,000
Total assets	200,000	250,000
Total equity	120,000	130,000

Calculate the days in receivables ratio for the current year.

- a. 4.44.
- b. 0.0121.
- c. 82.
- d. I don't know.

Calculate debt to equity ratio for the current year.

- a.92%.
- b.108%.
- c.192%.
- d.I don't know.

Tutorial activities--Tutorial 6A

A business has the following information:

	Current year
Cash	10,000
Accounts receivable	20,000
Inventory	100,000
Equipment	120,000
Accounts payable	30,000
Unearned revenue	50,000
Bank loan	90,000

Calculate the current ratio for the current year.

- a. 1.6.
- b. 0.4.
- c. 1.5.
- d. 0.6.

Tutorial activities--Tutorial 6A tutorial problem Woolworths Group

Profit and loss	2022 \$M	2023 \$M	Horizontal analysis	Description
Revenue	60,849	64,294		
Cost of sales	44,878	47,118		
Gross profit	15,971	17,176		
Other revenue	297	277		
Branch expenses	10,388	10,770		
Administration expenses	3,189	3,684		
Earnings before interest and tax	2,691	2,999		
Finance costs	600	677		
Profit before income tax	2,091	2,322		
Income tax expense	534	693		
Profit for the year from continuing operations	1,557	1,629		

Tutorial activities--Tutorial 6A tutorial problem Woolworths Group

Partial BALANCE SHEET	2022	2023	Horizontal analysis	Description
	\$M	\$M		
Cash	1,032	1,135		
Trade and other receivables	856	1,016		
Inventories	3,593	3,698		
Other financial assets	106	51		
Current assets	6,110	6,375		
Total assets	33,273	33,648		
Current liabilities	10,750	11,886		
Total liabilities	27,169	27,083		
Share capital (contributed equity)	5,207	5,406		
Total equity	6,104	6,565		

Tutorial activities--Tutorial 6A tutorial problem Woolworths Group

Profit and loss	2022	2023	Vertical analysis 2022	Vertical analysis 2023	Trend
	\$M	\$M			
Revenue	60,849	64,294			
Cost of sales	44,878	47,118			
Gross profit	15,971	17,176			
Other revenue	297	277			
Branch expenses	10,388	10,770			
Administration expenses	3,189	3,684			
Earnings before interest and tax	2,691	2,999			
Finance costs	600	677			
Profit before income tax	2,091	2,322			
Income tax expense	534	693			
Profit for the year from continuing operations	1,557	1,629			

Tutorial activities--Tutorial 6A tutorial problem Woolworths Group

Partial BALANCE SHEET			Vertical analysis	Vertical analysis	Trend
	2022	2023	2022	2023	
	\$M	\$M			
Cash	1,032	1,135			
Trade and other receivables	856	1,016			
Inventories	3,593	3,698			
Other financial assets	106	51			
Current assets	6,110	6,375			
Total assets	33,273	33,648			
Current liabilities	10,750	11,886			
Total liabilities	27,169	27,083			
Share capital (contributed equity)	5,207	5,406			
Total equity	6,104	6,565			

Tutorial activities--Tutorial 6A tutorial problem Woolworths Group

Ratio analysis

Profit and loss	2020	2021	2022	2023
	\$M	\$M	\$M	\$M
Revenue	53,080	55,694	60,849	64,294
Cost of sales	37,750	39,366	44,878	47,118
Gross profit	15,330	16,328	15,971	17,176
Other revenue	148	117	297	277
Branch expenses	9,564	9,838	10,388	10,770
Administration expenses	3,888	3,784	3,189	3,684
Earnings before interest and tax	2,026	2,823	2,691	2,999
Finance costs	671	613	600	677
Profit before income tax	1,355	2,210	2,091	2,322
Income tax expense	417	604	534	693
Profit for the year from continuing operations	938	1,606	1,557	1,629

Tutorial activities--Tutorial 6A tutorial problem Woolworths Group

Ratio analysis

Partial BALANCE SHEET	2020	2021	2022	2023
	\$M	\$M	\$M	\$M
Cash	2,068	1,009	1,032	1,135
Trade and other receivables	740	649	856	1,016
Inventories	4,434	3,132	3,593	3,698
Other financial assets	534	19	106	51
Current assets	8,125	15,786	6,110	6,375
Total assets	38,472	39,236	33,273	33,648
Current liabilities	13,457	23,117	10,750	11,886
Total liabilities	29,440	37,497	27,169	27,083
Share capital (contributed equity)	6,022	5,253	5,207	5,406
Total equity	9,032	1,739	6,104	6,565

Tutorial activities--Tutorial 6A tutorial problem Woolworths Group

Ratio analysis

Ratio analysis	2021	2022	2023
Liquidity			
Working capital			
Current ratio			
Quick ratio			
Solvency			
Debt to equity			
Times interest earned			
Efficiency			
Accounts receivable turnover			
Days in receivables			
Inventory turnover			
Days in inventory			
Total asset turnover			
Profitability			
Profit margin ratio			
Return on assets			
Return on equity			

Tutorial activities--Tutorial 6B: Analysing financial reports

Adore Beauty financial information (online links)

- [Adore Australian customer website](#)
- [Adore investor information: use this to find the 2023 Annual Report](#)
- [Morningstar operating performance](#)



**Adore
Beauty 21**

Should you invest in Adore Beauty?

You have saved some money and would like to start investing in shares. You are starting to research some different companies. Use the resources in the links above to answer these questions about Adore Beauty. Would you invest in this company?

Tutorial activities--Tutorial 6B: Analysing financial reports

1. What does this business do? What is their product or service? Which countries do they operate in? Who are the customers?
2. Find the Consolidated statement of profit or loss and other comprehensive income and look at the *performance* of the company. Describe the profits and what may have impacted them in 2023. You can find the Income Statement on page 48 of the 2023 Annual report.

	Increased or decreased?
Total assets	
Total liabilities	
Total equity	

3. Find the Statement of Financial Position (Balance Sheet). You can find this on page 49. Start by looking at the total assets, liabilities and equity. How have the totals changed?

Then look at each line in the assets, liabilities and equity. Which item in each group has the largest change? What question would you ask about this?

4. Review the ratios from Morningstar. What can we learn about the business from these ratios?
5. Would you buy shares in this company? Back up your answer with evidence from your research.
6. What further questions would you want to ask based on your research so far? What other research or information would you use?

Tutorial problems week 6

Follow the guide of questions in the previous slide and present your financial reports analysis on Adore Beauty (or any other company you are interested).

- You will work in groups (4-5 in one group) on tutorial problems.
- You will prepare a PPT and present the solution with the class in tutorial week.
- All group members need to participate and explain the solution and also answer any further questions from the class.
- Time limit: 15-20 minutes.